Running the BB Breakout bot with real money:

every risk we know of, and how each one is prevented

This document lists 46 risks in 7 groups — from the strategy itself to the bot, the exchange, security, our own behaviour and family money. For each: what could happen, how likely it is, how bad it would be, and the safeguard. It ends with the hard limits (kill switch), what "normal" looks like, the launch checklist and what to do when something goes wrong.

The plan this document covers

- **Strategy:** BB Breakout on 4h candles — close outside Bollinger (20, 2) in the direction of the 200 average; stop at the middle band; target 4× the stop distance; close after 8 days.
- **Coins:** SOL and ZEC first; NEAR, ADA, GALA later.
- **Exchange:** MEXC USDT-M perpetual futures, bot via the official API.
- **Money:** $100 per coin. Risk per trade starts at **$1–2**; $5 only after the live record matches the backtest.
- **Bot:** stop and target placed on MEXC right after every entry and never moved.

The 10 most important risks

ID	Risk	Level
O1	Turning the bot off in the middle of a drawdown	High
M1	Risk per trade too big for the account	High
S1	Live results weaker than the backtest	High
S2	The edge fades or stops working	Medium
M4	Changing size on emotion	Medium
O5	Scaling up too fast	Medium
L3	Family expectations	Medium
S4	Deep and slow drawdowns	Medium
S7	Coins losing together (correlation)	Medium
E3	Stop or target not placed after entry	Medium

In one paragraph

The strategy will have losing streaks (up to ~12 in a row on SOL+ZEC), losing months (about 1 in 3) and drawdowns that take weeks or months to recover — these are certain, not failures. The real dangers are things we control: risking too much per trade, a position left without its stop, switching the bot off in the middle of a drawdown, scaling up before a live record exists, and exchange/API problems. Each has a safeguard below, and the kill switch on page 11 decides when to stop — not emotion.

Risk map

Each box is one risk, placed by how likely it is and how bad it would be. Red = handle first, yellow = watch, green = minor. Risk IDs match the pages that follow.



How to read the levels

Level	Meaning
High	Likely and/or severe. Has a hard rule or an automatic safeguard.
Medium	Will happen sometimes or hurts moderately. Monitored and reviewed.
Low	Rare or small. Logged; no special action.

Groups

Group	Risks	High
S · Strategy and market risks	10	1
M · Money and position-size risks	6	1
E · Execution and technical risks	12	0
X · Exchange risks (MEXC)	6	0
C · Security risks	4	0
O · Human and operational risks	5	1
L · Legal, tax and family risks	3	0
Total	**46**	**3**

Words used

- **R** = one unit of risk per trade ($1 at $1 risk, $5 at $5 risk). A normal loss is about −1R; a target hit is about +4R.
- **Drawdown** = fall from the highest balance so far to a later low.
- **Losing streak** = losing trades in a row.
- **Kill switch** = the pre-agreed point where the bot is stopped.

S · Strategy and market risks

Risks that come from the strategy itself and from how markets behave. None of these can be removed — only sized and planned for.

S1 Live results weaker than the backtest

High · Likelihood: **Certain** · Impact: **Moderate**

WHAT COULD HAPPEN

The 5 coins were chosen after seeing they did well. Picking coins blind with pre-2023 data, the average coin earned only +0.09R per trade from 2023 on, versus about +0.3R for SOL and ZEC. Expect live profit to be lower than the reports.

HOW WE PREVENT IT

- Plan with +0.1R to +0.2R per trade, not +0.3R.
- Start at $1–2 risk; scale up only after 6–12 months of live results.
- Judge live results against the expected ranges on page 12, not against the backtest totals.

S2 The edge fades or stops working

Medium · Likelihood: **Possible** · Impact: **Major**

WHAT COULD HAPPEN

Edges decay. On other coins it already happened (ETH, DOGE, XRP faded after 2023). ADA is near break-even in 2026; ZEC made only +$0.86 (at $1 risk) in all of 2023; SOL+ZEC went from +0.40R per trade before 2023 to +0.32R after.

HOW WE PREVENT IT

- Monthly review: rolling 12-month result per coin.
- Pause a coin if its last 100 trades average below 0R, or its 12-month result is negative.
- Never re-tune rules on recent losses (that is fitting to noise).

S3 Long losing streaks

Medium · Likelihood: **Certain** · Impact: **Minor**

WHAT COULD HAPPEN

Certain to happen. Longest in 6.6 years: 9 in a row on one coin (ZEC, ADA, GALA), 12 for SOL+ZEC together, 20 for all 5 coins. SOL+ZEC had 5+ losses in a row about every 3.6 months and 8+ about once a year.

HOW WE PREVENT IT

- Fixed small risk per trade so a 12-loss streak costs about −12R ($12 at $1 risk).
- Expect it; do not switch the bot off or change size during a streak.
- Kill switch is set far beyond the worst streak (page 11).

S4 Deep and slow drawdowns

Medium · Likelihood: **Likely** · Impact: **Moderate**

WHAT COULD HAPPEN

Worst fall from a high: SOL+ZEC −14.6R, all 5 coins −25.6R. Recovery took a median of about 9 trades (~1 month) but up to 218 days (Oct 2022 → Jun 2023). Roughly 1 month in 3 is a loss even when the strategy works.

HOW WE PREVENT IT

- Capital sized to absorb 2× the worst drawdown.
- Warning and stop levels set in advance (page 11).
- Evaluate on 6–12 months, never on one bad month.

S5 Choppy, directionless markets

Medium · Likelihood: **Likely** · Impact: **Minor**

WHAT COULD HAPPEN

Most losing streaks happen in sideways markets: price breaks out of the band, then falls back to the middle band. Late 2022, early 2023 and December 2025 were the worst periods.

HOW WE PREVENT IT

- Trading two (later five) coins spreads it out.
- Filters were tested (whipsaw skip, break-even stops, loss-streak throttle) and all made results worse, so the rules accept chop rather than fight it.

S6 Crash, gap or extreme candle

Low · Likelihood: **Unlikely** · Impact: **Moderate**

WHAT COULD HAPPEN

A sudden crash (like FTX in Nov 2022) can push price through the stop before it fills, so one loss is bigger than −1R. Worst single loss in the backtest: about −1.19R.

HOW WE PREVENT IT

- Stops are stop-market orders that always fill.
- Risk per trade kept small so a −2R or −3R outlier is survivable.
- Cross margin with spare balance so a spike cannot liquidate the position before the stop.

S · Strategy and market risks (continued)

S7 Coins losing together (correlation)

Medium — Likelihood: **Likely** · Impact: **Moderate**

WHAT COULD HAPPEN

Crypto coins move together. With 5 coins, 20 losses in a row happened in only 19 days (Oct–Nov 2022). Up to 3 trades were open at the same time.

HOW WE PREVENT IT

- Account-level kill switch on the combined balance, not per coin only.
- Cap on how many trades can be open at once.
- Add coins one at a time.

S8 Backtest bias / overfitting

Medium — Likelihood: **Possible** · Impact: **Moderate**

WHAT COULD HAPPEN

Rules were tuned on 2019–2022 BTC, ETH and SOL, so SOL's early years are in-sample. A backtest can look better than reality if rules are fitted to the past.

HOW WE PREVENT IT

- Rules frozen since 20 Oct 2026; tested on 2023+ data and on coins never used for tuning.
- No-look-ahead test: 0 mismatches in ~160,000 orders; independent bot replay matched SOL and ZEC trade for trade.
- Live trades compared with the backtest replay every week.

S9 Funding fee spikes

Low — Likelihood: **Unlikely** · Impact: **Trivial**

WHAT COULD HAPPEN

Longs pay funding every 8 hours when rates are positive. Over 6.6 years funding cost −8.6R against +224.8R profit on SOL+ZEC; worst single trade −0.76R.

HOW WE PREVENT IT

- Funding logged per trade.
- Alert if the rate stays above 0.1% per 8 hours for several days.
- Even 10× the historical funding would have left the strategy clearly profitable.

S10 Trading costs rise

Low — Likelihood: **Unlikely** · Impact: **Minor**

WHAT COULD HAPPEN

Your MEXC rates (ZEC 0%, SOL ~0.01%) can change. Results are not very sensitive: doubling fees and slippage keeps about 90% of the profit; 0.08% fees + 0.05% slippage still made +41% on SOL+ZEC in 2026 at $5 risk.

HOW WE PREVENT IT

- Bot reads the fee rate from the API at start-up and logs it.
- Monthly check of fees actually paid versus expected.

M · Money and position-size risks

Risks that come from how much is put in and how big each trade is. These are fully in our control.

M1 Risk per trade too big for the account

High — Likelihood: **Possible** · Impact: **Severe**

WHAT COULD HAPPEN

$5 risk on a $100 coin is 5% per trade. Starting at the worst moment, ZEC's $100 would have dropped to about $22 before recovering. A bigger risk turns normal streaks into account-breaking losses.

HOW WE PREVENT IT

- Start at $1–2 risk per trade on $100 per coin.
- Raise risk only by the written rule on page 11 (after months of matching results).
- Never above 5% of a coin's starting balance per trade.

M2 Order size rounding on MEXC

Medium — Likelihood: **Certain** · Impact: **Minor**

WHAT COULD HAPPEN

MEXC trades SOL and ZEC in steps of about $11–13. At $1 risk a position is only $15–21, so real risk per trade swings between about $0.50 and $1.70.

HOW WE PREVENT IT

- Use $2+ risk so rounding matters less.
- Bot logs the real risk of every trade after rounding.
- Skip a trade if rounding pushes risk above 1.5× the target.

M · Money and position-size risks (continued)

M3 Liquidation before the stop

Low Likelihood: **Rare** · Impact: **Severe**

WHAT COULD HAPPEN

With too little margin or too much leverage, the exchange can close the position before the stop is reached and take the margin.

HOW WE PREVENT IT

- Cross margin with the full $100 per coin behind positions of about $15–130.
- Leverage setting low; bot checks the liquidation price is far beyond the stop before every entry.

M4 Changing size on emotion

Medium Likelihood: **Possible** · Impact: **Major**

WHAT COULD HAPPEN

Raising risk after wins ("it works!") or after losses ("win it back faster") is the most common way traders turn a working strategy into a loss.

HOW WE PREVENT IT

- Risk is a setting in a config file, changed only at the monthly review, by the written rule.
- Every change is logged with a date and reason.

M5 Running costs bigger than profit

Low Likelihood: **Possible** · Impact: **Minor**

WHAT COULD HAPPEN

At $1 risk, SOL+ZEC made about +$32 a year in the backtest. A rented server at about $5/month (~$60/year) would cost more than that.

HOW WE PREVENT IT

- Start on a free option (home PC that stays on, or a free-tier server).
- Move to a paid server only when the profit at the chosen risk clearly covers it.

M6 Needing the money during a drawdown

Medium Likelihood: **Unlikely** · Impact: **Major**

WHAT COULD HAPPEN

Withdrawing in the middle of a drawdown locks in the loss and misses the recovery (recovery can take months).

HOW WE PREVENT IT

- Only put in money that can stay untouched for 12 months.
- Keep savings off the exchange.

E · Execution and technical risks

Risks from the bot, the server and the connection to the exchange. Most are prevented by how the bot is written; all are tested in practice mode and the small live phase.

E1 Late entry

Low Likelihood: **Possible** · Impact: **Minor**

WHAT COULD HAPPEN

The bot reacts seconds or minutes after the 4h candle closes and price has already moved, so the entry is worse than planned.

HOW WE PREVENT IT

- Always-on machine with an accurate clock; runs a few seconds after each close (00, 04, 08, 12, 16, 20 UTC).
- Skip if price has moved more than ¼ of the stop distance from the open, or already passed the stop or target.
- Each trade logs planned vs actual entry so the cost of lateness is measured.

E2 Missed signal (bot or internet down)

Low Likelihood: **Possible** · Impact: **Minor**

WHAT COULD HAPPEN

A restart, power cut or internet loss at the candle close means a signal is missed or acted on very late.

HOW WE PREVENT IT

- On restart the bot acts only on signals less than 15 minutes old.
- Daily "still alive" message; alert if no heartbeat.
- Open trades stay protected because stop and target sit on MEXC.

E · Execution and technical risks (continued)

E3 Stop or target not placed after entry

Medium · Likelihood: **Unlikely** · Impact: **Severe**

WHAT COULD HAPPEN

The worst technical failure: the entry fills but the stop order fails, leaving a position with no protection.

HOW WE PREVENT IT

- Stop and target placed immediately after the fill, then read back from MEXC to confirm they exist.
- Retry; if still missing after a few seconds, close the position at market and send an alert.
- Checked again at every 4h run.

E4 Duplicate orders

Medium · Likelihood: **Unlikely** · Impact: **Major**

WHAT COULD HAPPEN

A retry or restart sends the same order twice, opening two positions instead of one.

HOW WE PREVENT IT

- Before any action the bot reads MEXC's actual positions and open orders; it never trusts its own memory alone.
- Unique order IDs per signal so MEXC rejects repeats.
- One position per coin maximum, enforced in code.

E5 Order rejected

Low · Likelihood: **Possible** · Impact: **Minor**

WHAT COULD HAPPEN

Size below minimum, wrong position mode (MEXC error 7002), leverage or margin mismatch, insufficient balance.

HOW WE PREVENT IT

- Start-up check of position mode (one-way), margin type and leverage.
- Every rejection logged with the exchange message and sent as an alert.

E6 Bad candle data

Low · Likelihood: **Unlikely** · Impact: **Moderate**

WHAT COULD HAPPEN

Acting on a candle that has not closed yet, a missing candle, or a wrong price from the API can create a false signal.

HOW WE PREVENT IT

- Only fully closed candles are used (the forming one is dropped).
- Gap and sanity checks before deciding; skip the run if data looks wrong.

E7 Clock or time-zone mistakes

Low · Likelihood: **Unlikely** · Impact: **Minor**

WHAT COULD HAPPEN

A wrong clock or time zone makes the bot check at the wrong time or misread which candle closed.

HOW WE PREVENT IT

- All times in UTC.
- Clock synced automatically; bot compares its time with MEXC server time at start-up.

E8 Stop slippage

Low · Likelihood: **Possible** · Impact: **Minor**

WHAT COULD HAPPEN

In fast markets a stop-market order fills past the stop price. Normal slippage is already in the backtest; spikes are rarer and bigger.

HOW WE PREVENT IT

- Logged per trade (planned vs actual exit).
- Risk per trade small enough that a −1.5R loss is fine.

E · Execution and technical risks (continued)

E9 8-day time exit not executed

Low — Likelihood: **Unlikely** · Impact: **Trivial**

WHAT COULD HAPPEN

If the bot is down when a trade reaches 48 candles, the position stays open longer than the rules say.

HOW WE PREVENT IT

- Stop and target still protect it on MEXC.
- On restart the bot closes any trade older than 48 candles immediately.

E10 Partial fills and API timeouts

Low — Likelihood: **Unlikely** · Impact: **Minor**

WHAT COULD HAPPEN

An order only partly fills, or the API does not answer in time, so the bot does not know the true position.

HOW WE PREVENT IT

- After every order the bot reads back the real position size and sizes stop/target to it.
- Timeouts retried with backoff; rate limits respected.

E11 Bot logic differs from the backtest

Low — Likelihood: **Unlikely** · Impact: **Moderate**

WHAT COULD HAPPEN

A bug makes the live bot take different trades than the tested strategy.

HOW WE PREVENT IT

- Bot reuses the same calculation as the tested backtest.
- Practice mode for 1–2 weeks: every signal compared with the backtest replay.
- Weekly live-vs-replay check during the live phase.

E12 Software or server breaks

Low — Likelihood: **Unlikely** · Impact: **Minor**

WHAT COULD HAPPEN

A library update, full disk, crashed process or power cut stops the bot silently.

HOW WE PREVENT IT

- Library versions pinned; updates tested in practice mode first.
- Process auto-restarts; heartbeat alert if silent.

X · Exchange risks (MEXC)

Risks from depending on one exchange. Some can only be limited by keeping exposure small.

X1 MEXC turns the futures API off again

Low — Likelihood: **Unlikely** · Impact: **Moderate**

WHAT COULD HAPPEN

MEXC's futures order API was "under maintenance" from July 2022 until 31 March 2026. It could happen again.

HOW WE PREVENT IT

- Open trades stay protected by stop and target on MEXC.
- Bot code written on a common library so it can move to Binance or Bybit by changing settings.

X2 Outage or maintenance

Low — Likelihood: **Possible** · Impact: **Minor**

WHAT COULD HAPPEN

MEXC had a futures maintenance window on 25 June 2026. During an outage no new trades and no time exits happen.

HOW WE PREVENT IT

- Bot retries after the outage and re-checks every open position.
- Stop and target already on the exchange.

X · Exchange risks (MEXC) (continued)

X3 Exchange freeze or failure

Low — Likelihood: **Rare** · Impact: **Severe**

WHAT COULD HAPPEN

An exchange can freeze withdrawals, restrict an account or fail (it has happened to large exchanges).

HOW WE PREVENT IT

- Keep only the trading capital on MEXC, never savings.
- Withdraw profits regularly.

X4 MEXC prices differ from Binance

Low — Likelihood: **Certain** · Impact: **Trivial**

WHAT COULD HAPPEN

All long-history research uses Binance candles. On MEXC's own candles: 97% (SOL) and 94% (ZEC) of trades start on the same candle; in 2026, 41 of 42 per coin, with final balances within a few cents.

HOW WE PREVENT IT

- Bot trades on MEXC candles (the same exchange it orders on).
- Weekly replay uses MEXC candles.

X5 Contract changes or delisting

Low — Likelihood: **Unlikely** · Impact: **Minor**

WHAT COULD HAPPEN

MEXC can change minimum size, leverage limits or delist a contract (EOS was delisted from Binance in 2025).

HOW WE PREVENT IT

- Contract details read from the API at start-up; bot stops trading a coin if they change unexpectedly.

X6 Account or region restrictions

Low — Likelihood: **Unlikely** · Impact: **Moderate**

WHAT COULD HAPPEN

KYC requirements, country restrictions or API permission changes can block trading.

HOW WE PREVENT IT

- Complete KYC before going live.
- Confirm the exchange is allowed in your country.

C · Security risks

Risks of someone else getting access to the account or the bot.

C1 API key leaked

Medium — Likelihood: **Unlikely** · Impact: **Major**

WHAT COULD HAPPEN

Someone with the key could trade the account (e.g. to move prices or burn fees).

HOW WE PREVENT IT

- Key has trading permission only, withdrawals OFF.
- Locked to the server's IP address.
- Stored only in a local .env file on the bot machine, never in code, chat, screenshots or git.

C2 Exchange account taken over

Low — Likelihood: **Rare** · Impact: **Severe**

WHAT COULD HAPPEN

Stolen password or email gives full control, including withdrawals.

HOW WE PREVENT IT

- Strong unique password, authenticator-app 2FA, withdrawal whitelist, anti-phishing code on MEXC.

C · Security risks (continued)

C3 Malicious software or fake tools

Low — Likelihood: **Rare** · Impact: **Major**

WHAT COULD HAPPEN

Unofficial "MEXC SDKs that bypass maintenance" and similar tools exist; installing them can steal keys.

HOW WE PREVENT IT

- Only well-known open-source libraries, pinned versions.
- No third-party bot services holding the keys.

C4 Phishing

Medium — Likelihood: **Unlikely** · Impact: **Major**

WHAT COULD HAPPEN

Fake emails or sites asking you to log in or "verify" the API key.

HOW WE PREVENT IT

- Only log in through a saved bookmark; MEXC anti-phishing code checked on every email.

O · Human and operational risks

Usually the biggest risks of all: what we do while the bot runs.

O1 Turning the bot off in the middle of a drawdown

High — Likelihood: **Likely** · Impact: **Major**

WHAT COULD HAPPEN

Stopping after a losing streak locks in the loss and misses the recovery — the streak is when the strategy is most likely about to pay back.

HOW WE PREVENT IT

- Stop only by the written kill-switch rule (page 11), never by feeling.
- Re-read the "normal ranges" on page 12 before any decision.

O2 Manual interference

Medium — Likelihood: **Possible** · Impact: **Moderate**

WHAT COULD HAPPEN

Closing winners early, moving stops, or taking extra trades by hand breaks the tested rules (the biggest profits come from trades held 6–8 days).

HOW WE PREVENT IT

- No manual trading on the bot account.
- Every manual action logged and reviewed.

O3 Silent failure nobody notices

Medium — Likelihood: **Possible** · Impact: **Moderate**

WHAT COULD HAPPEN

The bot stops trading or trades wrongly for days without anyone looking.

HOW WE PREVENT IT

- Telegram message on every entry, exit and error, plus a daily heartbeat.
- Weekly 10-minute check (page 13).

O4 Changing the rules after losses

Medium — Likelihood: **Possible** · Impact: **Moderate**

WHAT COULD HAPPEN

Adjusting settings after a bad month fits the strategy to noise and usually makes it worse.

HOW WE PREVENT IT

- Rules frozen. Any change is tested on history first, then run in practice mode before it touches money.

O · Human and operational risks (continued)

O5 Scaling up too fast

Medium — Likelihood: **Possible** · Impact: **Major**

WHAT COULD HAPPEN

Adding coins, family money or bigger risk before the live track record exists multiplies any problem not yet found.

HOW WE PREVENT IT

- Phases with entry rules (page 14): own money first, family only after 3–6 matching months.

L · Legal, tax and family risks

Risks outside the market and the code.

L1 Managing other people's money

Medium — Likelihood: **Unlikely** · Impact: **Severe**

WHAT COULD HAPPEN

Pooling and trading other people's money for a fee usually needs a licence from the securities regulator.

HOW WE PREVENT IT

- Family uses their own exchange accounts and their own trade-only API keys; money never pooled.
- No fees at first; check local rules before taking any share of profits.

L2 Taxes

Low — Likelihood: **Possible** · Impact: **Minor**

WHAT COULD HAPPEN

Trading profits can be taxable.

HOW WE PREVENT IT

- The bot journal keeps every trade, fee and funding payment for tax records.
- Check local tax rules.

L3 Family expectations

Medium — Likelihood: **Possible** · Impact: **Major**

WHAT COULD HAPPEN

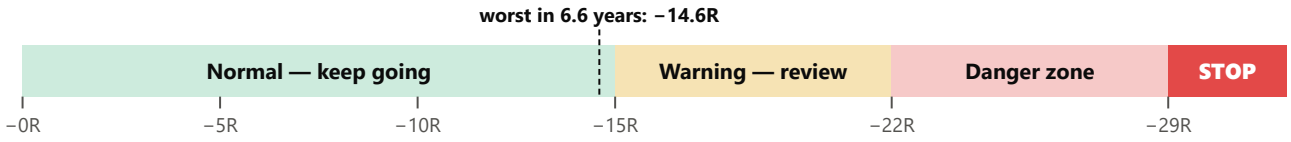
Family members who expected steady profits may react badly to a normal drawdown.

HOW WE PREVENT IT

- Show them the drawdown and streak numbers before they join; no promises of returns.
- Written one-page agreement and monthly report from the journal.

Hard limits and the kill switch

Decided now, in calm conditions, so no decision has to be made in the middle of a losing streak. Numbers for SOL + ZEC; R = risk per trade.



SOL + ZEC drop from the account's highest balance, in R (1R = your risk per trade: $1, $2 or $5).

Account limits (SOL + ZEC together)

Measure	History (6.6 yrs)	Warning → review	Stop the bot
Drop from highest balance	−14.6R	−15R	**−29R** (2× worst)
Losing trades in a row	12	13	**18**
Result over any 12 weeks	worst −6.9R	below −7R	below −12R
Result over any 26 weeks	never below −0.6R (2023+)	below 0R	below −8R
Single-trade loss	worst −1.19R	below −1.5R	below −3R (investigate)

At $2 risk: stop at −$58 on $200. At $5 risk: stop at −$145 — which is why $5 is not the starting size.

Per-coin and bot limits

Rule	Limit
Pause one coin if its drop from high exceeds	SOL −19R · ZEC −23R (1.5× its worst)
Pause one coin if last 100 trades average	below 0R
Max open trades per coin	1
Max total risk open at once	2R (SOL + ZEC); 5R later with 5 coins
Max risk per trade	5% of that coin's starting balance
Stop/target not confirmed on MEXC	close the position immediately
Unknown API errors in one day	3 → bot pauses and alerts
Rounded risk above target	> 1.5× → skip trade

When can risk go up?

Only at a monthly review, and only if all are true: at least 3 months live (≈ 25+ trades per coin); live trades match the backtest replay (same signals, slippage within expectations); the account is within the normal zone; and the step is small ($1 → $2 → $3 → $5, at least a month apart). After any kill-switch stop, risk goes back to $1.

What “normal” looks like

Use these before reacting to any result. Everything inside these ranges happened while the strategy was working. SOL + ZEC, in R.

Expected result after… (simulation of 2023+ trades)

Period	~Trades	Bad (5%)	Typical	Good (95%)	Chance negative
4 weeks	8	−5.2R	+1.9R	+11.7R	**35%**
8 weeks	15	−6.0R	+4.5R	+17.8R	26%
12 weeks	23	−6.7R	+6.9R	+23.2R	21%
6 months	50	−4.9R	+15.5R	+38.5R	11%
1 year	100	+1.6R	+31.0R	+62.7R	4%

Below the “Bad (5%)” column for the period = warning: check execution first, then the market.

Losing streaks — how often (SOL + ZEC)

Streak	Happened	About every
5+ losses in a row	22×	3.6 months
7+	10×	8 months
8+	7×	11 months
10+	2×	3.3 years

Recovery after a streak of 5+

Typical: **9 trades / about 1 month**. Fastest: 2 trades / 3 days. Slowest: 62 trades / 218 days (Oct 2022 → Jun 2023).

Other normal facts

- Win rate about **39%** — most trades lose about −1R; about 1 in 6 hits the +4R target.
- About **1 month in 3** is a loss; 15 of 46 months since 2023.
- Average trade lasts about 4 days; the most profitable ones run the full 8 days.
- Funding costs about 0.01–0.05R per trade; occasionally up to 0.76R on a long hold.

Signs something is actually wrong

- Live trades do not match the replay (missing, extra or different trades).
- Entries or stops consistently filling far from planned prices.
- A position without its stop or target, even once.
- Results below the “Bad (5%)” range for 12 weeks or more.
- Any limit on page 11 reached.

Monitoring routine

Most of the work is automatic. The human part takes about 10 minutes a week and 30 minutes a month.

When	Who / what	Check	Action if not OK
Every trade	Bot → Telegram	Entry price, stop, target, size, real risk after rounding; stop and target confirmed on MEXC	Bot closes the position if protection is missing; alert
Every 4 hours	Bot	Candle closed and valid; positions and orders on MEXC match the bot's records; 8-day exits due	Fix the mismatch from MEXC's state; alert
Daily	Bot → Telegram	"Still alive" heartbeat: balance, open trades, drawdown from high, errors today	No heartbeat by noon → check the machine
Weekly (10 min)	You (+ Claude replay)	Replay the same MEXC candles and compare trade by trade: missed/extra trades, entry and exit slippage, fees, funding	Any unexplained difference → pause new entries until explained
Monthly (30 min)	You	Result vs the "normal" table (page 12); drawdown vs limits (page 11); fees paid; per-coin 12-month result; risk-increase rule	Warning zone → keep size, review; stop zone → kill switch
Quarterly	You	Is the edge still there? Rolling 100-trade average per coin; decide adding coins or raising risk	Pause coins below 0R

What the bot journal records (every trade)

- Signal candle, direction, planned entry/stop/target
- Actual entry fill, size after rounding, real risk in $
- Stop/target order IDs and confirmation time
- Exit reason (stop, target, 8-day), exit fill, slippage
- Fees, funding payments, result in $ and R
- Any errors, retries and restarts

Alerts that must reach your phone

- Position without stop/target (and that it was closed)
- Kill-switch or warning level reached
- Order rejected / unknown API error
- No heartbeat
- Coin contract or fee changed
- MEXC maintenance announced

Before real money: launch checklist and phases

Checklist — every box ticked before phase 2

- ☐ MEXC account: KYC done, authenticator 2FA, withdrawal whitelist, anti-phishing code
- ☐ API key: trading only, withdrawals OFF, locked to the bot machine's IP, stored only in local .env
- ☐ Futures settings: one-way position mode, cross margin, low leverage; fee rate read from the API
- ☐ API test: open 1 ZEC contract, place stop + target, read them back, close — all by script
- ☐ Bot decides only on closed MEXC 4h candles, UTC clock synced
- ☐ Stop + target placed and confirmed after every fill; auto-close if missing (tested by forcing a failure)
- ☐ Restart test: kill the bot with an open trade → it recovers the state from MEXC with no duplicates
- ☐ Journal, Telegram alerts and daily heartbeat working
- ☐ Kill-switch and limit values from page 11 entered in the config
- ☐ Practice mode ran 1–2 weeks; every signal matched the backtest replay
- ☐ Capital on MEXC = only the trading money ($100 per coin); savings elsewhere
- ☐ Written plan: risk size, kill switch, review dates

Phases

Phase	What	Move on when
1. Practice 1–2 weeks	Bot live on MEXC data, no orders; logs what it would do	All signals match the replay; no bot errors
2. Small live 3 months	SOL + ZEC, $100 each, $1–2 risk	Live trades match the replay; slippage within expectations; within normal ranges
3. Full size	Step risk up to $5 (monthly steps)	3+ months clean at each step
4. More coins	Add NEAR, ADA, GALA one at a time	6+ months clean on SOL + ZEC
5. Family	Own accounts, own trade-only keys, small risk, no fees	3–6 months of your own live record shown to them

Any kill-switch stop sends the plan back to phase 2 at $1 risk after the cause is understood.

Incident playbook — if this happens, do this

Written in advance so every problem has a calm, pre-decided answer.

Situation	What to do
Position has no stop or target	Bot closes it at market automatically. You: confirm on MEXC app it is closed; read the error; do not restart new entries until the cause is fixed.
Bot stopped / no heartbeat	Open trades are still protected on MEXC. Restart the bot; it rebuilds state from MEXC and closes any trade older than 8 days. Check the journal for missed signals.
MEXC down or in maintenance	Do nothing manually. Stops and targets stay on the exchange. After it is back, the bot re-checks every position.
MEXC disables the futures API	Existing trades finish via their stop/target. Stop new entries. Decide whether to move the bot to Binance or Bybit (settings change + new practice week).
Warning level reached (page 11)	Keep the bot running at the same size. Check execution (replay match, slippage) first. Write down what the market is doing. No rule changes.
Kill switch reached	Bot stops opening trades; open trades finish normally. Full review: replay match, costs, market regime. Restart only at $1 risk, and only if execution was correct.
Live trades differ from replay	Pause new entries. Find the cause (data, timing, rounding, bug). Fix, test in practice mode, then resume.
API key may be exposed	Delete the key on MEXC immediately (open trades keep their stop/target). Create a new key with the same limits; check the account history.
Unexpected big loss on one trade	Check whether it was a gap past the stop (normal in crashes) or an execution problem (late, wrong size, missing stop). Log it.
You feel like switching it off	Re-read page 12. If no limit on page 11 is reached and execution matches the replay, the bot keeps running.

The three rules that matter most

1. **Never a position without its stop.** The bot closes anything unprotected.
2. **Never change size or rules because of how a week felt.** Only the monthly review, only by the written rules.
3. **Stop only at the kill switch.** Everything before it is normal for this strategy.

Sources: research/bollinger — bb-deep.js and near-deep.js (realistic costs incl. funding), live-parity.js (no look-ahead, bot replay), mexc-check.js (MEXC vs Binance), 2026 MEXC-candle simulation (21 Oct 2026). MEXC API status: official futures API changelog (maintenance ended 31 Mar 2026). This is a planning document, not financial advice; past results do not guarantee future results.